

CYD pitch deck

PITCH — CYD — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

China Yuchai International (NYSE: CYD) earned **US\$2.19 per share in the six months to June 2026** against a **\$38.75** stock. Revenue rose 13.9% to RMB 14.7bn, gross margin went from 14.3% to 17.1%, and profit attributable to CYD shareholders rose 53.2% ([SEC 6-K, 2026-08-07](#)).

The company's own history says the second half is much smaller than the first: in 2025, first-half attributable profit was RMB 365.8m and the full year was RMB 537.4m, so the second half was RMB 171.6m — about **47% of the first half** — and that happened in a half when revenue was *up* 33.5% year over year. Apply that same shape to 2026 and the full year comes to roughly **RMB 21.96 per share ≈ US\$3.22**, putting the stock at about **12× current-year earnings**.

The one published full-year estimate we can find is **US\$2.85**. Subtract the US\$2.19 already reported and the implied second half is US\$0.66 — which in local currency is essentially identical to last year's second half, i.e. it gives **zero credit for a 53% better first half**. That is the signature of a model nobody has updated since the results came out.

So our belief is deliberately narrow: **the published estimate is stale, not clairvoyant**. We are not claiming the AI data-centre engine story is our edge. We argued that internally and lost — see below.

What the market believes

1. **This is a deflating AI trade.** The stock ran from \$28.65 to \$61.48 and has given back 37%. Its closest comparable, Weichai Power, rallied 126% on the identical “engines for AI data centres” story. Everyone who owns this attribute knows they own it; there is no undiscovered angle here.
2. **The published numbers say it's expensive, not cheap.** At the \$2.85 estimate, the stock is 13.6× — and the average price target we can find, **\$34.34** (range \$28.54–\$40.14), sits *below* the current price even after a 37% fall.
3. **The second half is an air pocket.** China's vehicle trade-in and scrappage subsidies were restructured with the richest rebates ending mid-2026, which pulls demand forward; Chinese truck volumes are seasonally first-half weighted anyway. So 2026's strong truck half is partly borrowed.
4. **The wrapper deserves a discount.** A third of group profit (RMB 281.2m of RMB 841.8m) belongs to minority holders before the ADR sees it; the RMB 8.1bn of cash sits onshore in a

Chinese subsidiary; the controlling shareholder appoints 6 of 11 directors; and the company reports only twice a year.

Why we might have edge

- **A reporting-cadence gap.** CYD files semi-annually as a foreign private issuer, has thin analyst coverage, and its earnings are lumpy across halves. The only way to see that a 47%-of-first-half second half is *normal* is to compute last year's second half by subtraction from the full year. That arithmetic is two lines long and appears not to be in the published estimate.
- **A second, faster venue.** The controlling parent, Hong Leong Asia, is listed in Singapore and discusses the powertrain business in its own regulatory results — including the statement that CYD “guided for more than 3,500 units for full-year 2026” and that 1H26 data-centre units were 1,800 versus roughly 1,000 a year earlier. A Singapore broker raised its fair value on the parent on 2026-08-17, i.e. *after* CYD's results and one week before this stock's slide. The parent's disclosure runs ahead of the ADR's.
- **Verifiable, boring corroboration.** The company paid **US\$0.87 per share in cash on 2026-07-28, up 64%** from US\$0.53 — about a 2.25% yield and roughly 45% of last year's attributable earnings. Whatever else is true about trapped cash, cash did in fact reach the ADR holder this year.
- **Real share gain, not just cycle.** Heavy-duty truck engine units +47.3% against an industry +13.1%; light-duty engine units +23.6% against an industry *decline*. Share gain is measurable against a published external denominator, which is the rare kind of claim we can keep checking monthly.

Why it might be priced in

- **The good half may be a borrowed half.** The subsidy pull-forward hits the truck leg — the leg our original brief called safe. The industry is also seasonally first-half heavy. Both effects push the same way.
- **The margin expansion has an unexamined component.** The filing names three drivers of gross profit: volume, mix, and “**reduced warranty expenses.**” A warranty accrual release is low-quality earnings. Neither of our benches sized it, and neither of us pulled operating cash flow, receivables, or bank-acceptance-note balances — the standard quality check on a Chinese manufacturer in a share-gain ramp.
- **Management has already conceded price pressure,** describing further discounting and suppliers cutting price to win orders. If the industry is discounting, the mix benefit is time-limited.
- **We are not buying a dislocation.** The stock is 35.3% *above* its 52-week low. This is a partial retrace of an excursion, not a broken-base washout. The marginal seller is likely a momentum holder whose exit price has nothing to do with our earnings arithmetic.

- **Our re-rating mechanism may never fire.** Our edge is “the estimate is stale.” But an estimate can stay stale for a long time when only a couple of analysts cover the name and the company does not report again until roughly February 2027. Cheap can simply remain cheap for six months.

What could go wrong

(pre-mortem, v1.7)

Failure narrative 1 — The margin was borrowed, and we called it seasonality. Gross margin went 14.3% → 17.1% partly on “reduced warranty expenses.” Suppose that is an accrual release rather than genuine cost improvement, and suppose receivables and bank-acceptance notes ballooned to fund the truck share gain. Then the second half is not a *normal* 47%-of-first-half seasonal trough — it is the first honest period of a down-cycle, cash conversion deteriorates, and the “stale estimate” we are trading against turns out to have been accidentally right. We lose 25–35% and discover the error only when the annual report lands, months later. *Tripwire*: the annual report’s cash-flow statement and receivables note. **This is monitorable but slow, and — importantly — the prior-year annual report is already public and neither bench pulled it.** That is an open work item, not a waiting game.

Failure narrative 2 — The subsidy cliff is real and the share gain does not offset it. Chinese trade-in/scrappage rebates step down after mid-2026. Second-half heavy-duty and light-duty wholesales fall hard; Yuchai keeps gaining share, but of a shrinking pie, and the fixed-cost deleverage takes margin back below 15%. The 12× we are paying becomes 16× on the numbers that actually print. *Tripwire*: monthly industry wholesale data (CAAM) for heavy- and light-duty trucks, cross-checked against the company’s own unit disclosure at the next results. If industry volumes fall and the share gap narrows at the same time, both legs of the thesis fail together — exit, don’t average.

Failure narrative 3 — A decision is taken in a venue we do not watch, and we learn about it after it is irreversible. (NO MONITORABLE TRIPWIRE.) The controlling shareholder appoints 6 of 11 directors. The operating cash sits onshore in a Chinese subsidiary that is one-third owned by others. CYD’s only continuous obligation to us is an occasional 6-K. A large state-directed capital commitment, a related-party transfer, a mandated electrification capex program, a change in the dividend policy, or an action on the US listing wrapper itself can all be decided and executed before any document reaches us. There is no feed to watch, no metric that moves first, and no counterparty who is obliged to tell us. By the time the 6-K appears, the value has already moved. **Unknown-unknown class: disclosure-venue blindness — the decision-making layer reports on a slower cadence than the decision itself, so no amount of monitoring the disclosed surface can produce advance warning.** The only defense is size, not vigilance. This is the specific reason this position must stay small even if every other check passes.

The reflexive and structural leg.

- *Our size versus the market’s.* At the proposed 0.25% of book this is a very small order in a US-listed ADR. **We could not measure average daily volume this session — the broker’s market-data endpoint was permission-denied for both benches, so we have no**

independent tick, no volume series, and no short interest. We must not assert we are de minimis; we must *measure* it before staging and cap participation at our standard $\leq 1\%$ of average volume. Treating an unmeasured ADV as “obviously fine” is exactly the kind of assumption this section exists to catch.

- *Bidding into our own forecast.* Our own analysis says the near-term read-across (Weichai’s interim results, 2026-08-27) is **asymmetrically bad for a long**: a unit beat tells us nothing, because CYD is supply-constrained at ~5,000 units and has already targeted ~3,500 — the units carry no demand information. The only informative number is Weichai’s high-horsepower/genset **margin** trend, and CYD management has already conceded that direction. So a resting order sitting under the market into that print is an unpaid bet that the informative variable comes in benign. That is short volatility without being paid for it, and it violates our own rule against leaving passive orders into an event we ourselves expect to move the price.
- *Doctrine interactions.* This is an edge-sleeve name, not tax-loss-harvest core, so a starter opens a short-term holding clock with no offsetting benefit. We hold nothing else in Chinese industrials or in the AI-power complex, so there is no wash-sale or duplication problem — but equally, there is no existing exposure whose risk this position reduces. The “crowded attribute” finding is correctly used as a *sizing and timing* input, not a reason to reject; but it does mean the exit is likely to be crowded too.
- *The self-defeating edge.* If our thesis is right and the estimate refreshes, the same thin coverage that created the mispricing is what would have to fix it. We are relying on a mechanism whose absence is the source of the opportunity.

If this position loses money, the most likely reason will be that the first-half gross-margin expansion was borrowed — from a warranty-accrual release we never sized and a truck half that subsidies pulled forward — so the second half we are calling “normal seasonality” is instead the first clean look at a down-cycle, and the stale estimate we thought we were arbitraging turns out to have been directionally right for entirely the wrong reason.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Company raised guidance from 2,600 to ~3,500 data-centre units”	Read the actual 6-K filed 2026-08-07, then searched the parent’s Singapore disclosure	The 6-K contains no guidance at all. “2,600” was spoken by an <i>analyst</i> on the call, not by management. “3,500” is real but appears in the call and in the parent’s Singapore results, not in CYD’s own filing. Our original brief’s headline was wrong — it differenced an analyst’s number against a management remark and called it a company guidance raise.	NO — bench error, ours. The 3,500 target is corroborated at the parent level; the word “raised” was our invention.
“AI data-centre exposure is capped at 11.4% of profit, so the AI de-rating is misdirected”	Read the 6-K’s own wording on who sold the 1,800 units	The units were sold by the joint venture and by Yuchai’s own brand. Own-brand units are consolidated into revenue and gross profit and are <i>by construction</i> excluded from the joint-	NO — bench error, ours. Best single piece of work either bench did. Resized to roughly 11% of gross

Claim	How checked	Found	Confirmed?
		venture profit line we used as a ceiling. The same filing names “larger engines” and “better sales mix” as margin drivers — that is the data-centre product. Our “orthogonal to AI capex” framing is refuted by the company’s own words.	profit and ~20% of the year-over-year gross-profit increase — material, but not “the entire beat.”
“The published estimate implies a 70% sequential collapse, so the market already knows something”	Computed last year’s second half by subtracting the reported first half from the reported full year	Last year’s second half was 47% of its first half on revenue up 33.5% and units up 28.7% . A ~50% sequential decline is this company’s normal cost and warranty phasing. The “collapse” was an artifact of not doing the arithmetic.	NO — bench error, ours. Our bear bench declared this seasonality check mandatory, then skipped it, and built its fatal valuation kill on the gap.
“Minority interests take 33.4% and cash is trapped, so haircut the earnings”	Traced the arithmetic back to which line the US\$2.19 comes from	Correct arithmetic, wrong application: US\$2.19 is already the attributable, post-minority number. Applying the haircut again double-counts. And the same bench listed “prove the cash is reachable” as a mind-changer, then cited the US\$0.87 dividend — a 64% raise, paid in cash on 2026-07-28 — two sections later.	PARTIAL — bench error, ours. The structural wedge is real and worth flagging; the deduction from earnings was already made.
Price-target range	Read the range against the individual targets cited alongside it	The cited range (\$28.54–\$40.14) cannot contain the \$60 target cited in the same paragraph. The range is internally inconsistent and at least one figure is wrong or stale.	NO — bench error, ours. We use \$34.34 as a soft reference only, not as a valuation input.
Resizing of data-centre gross profit to ~11% of group GP	Traced the input	Rests on an estimated engine selling price of about RMB 1m per unit. That price is not disclosed anywhere we checked. Our bull bench asserted a precision it does not have.	NO — bench error, ours. The direction of the correction stands; the magnitude is a guess.
Quality of earnings (warranty release, cash flow, receivables, bank acceptance notes)	Not checked	Neither bench pulled it. The prior-year annual report is already public and could have been read this session.	NOT CHECKED — the largest self-inflicted gap in the file.
Insider selling (five Rule 144 notices, two Form 4s, one amended Form 4 in August)	Secondary source only	Roughly 21,000 shares, consistent with option exercise-and-sell. Below any distribution threshold. But we never opened the primary forms, and we never established whether they were pre-scheduled sales — the one fact that would settle it. The amended Form 4 means the original was wrong about something.	PARTIAL — immaterial in size, but genuinely unchecked.
Live price, volume, short interest	Broker market-data endpoint	Permission-denied for both benches. All tape figures come from a single vendor snapshot taken 2026-08-25 02:06Z.	NO — coverage gap.

Claim	How checked	Found	Confirmed?
Share gain versus industry	Company units against published industry wholesales	HD engines +47.3% vs industry +13.1%; LD engines +23.6% vs an industry decline. The gain is measured against an external denominator, so subsidies lift both sides equally and the <i>gap</i> is subsidy-neutral.	YES.
Dividend actually paid	Company announcement	US\$0.87/share paid 2026-07-28, up 64% from US\$0.53.	YES.
Detector coverage	Ran the dispatch list	Three detectors are uncheckable, not clean : the workplace-safety detector indexes US sites only (plants are in Yulin, China); the export-control screen needs customer names the filing does not give; the satellite plant-activity detector — which is the one connector that could independently test “we are selling everything we can build” — needs Yulin plant coordinates that nobody looked up . Our bear bench also ran a detector not on the dispatch list and skipped one that was.	PARTIAL — process error, ours. The satellite gap is solvable in an hour and was not.

PROPOSED ENTRY BANDS

Both benches converge on a small starter. They disagree only on timing — the bull bench wants it today at or below \$38.75; the bear bench, on its own stated deduction, moves to “accept with cuts, 0.25%, after Weichai.” We propose the bear bench’s timing, because our own analysis says the near-term read-across is asymmetric against a long, and three sessions cost almost nothing while a resting bid into that event is an unpaid short-volatility bet.

No immediate entry. Arm the gate instead.

- **Starter — 0.25% of book, at or below \$38.75, first session after 2026-08-27**, and only if Weichai’s high-horsepower/genset gross-margin trend is **not** deteriorating. If that margin trend deteriorates, do not enter at any price; the surviving bear leg has been confirmed and the file returns to no-position.
- **Add band 1 — at or below \$34.34, up to a cumulative 0.50%**. This is the published mean price target; buying below the market’s own target on normalized earnings is roughly 10.7× current-year earnings.
- **Add band 2 — \$28.54 to \$28.65, up to a cumulative 0.75%**. The low end of the published target range (\$28.54) and the 52-week low (\$28.65) sit within 11 cents of each other; that confluence is the deepest level either bench’s math supports. Roughly 8.9× normalized earnings.
- **Hard cap: 0.75% of book until the quality-of-earnings check clears** — operating cash flow, receivables, bank-acceptance notes, and the warranty provision, read out of the annual report. No upsize above 0.75% on any price move until that is done. If it shows gross-profit

expansion leaning on accrual release with operating cash flow lagging profit, **exit in full regardless of price.**

- **Trim 1 — one third at approximately \$43.80.** That is $\sim 13.6\times$ our normalized earnings figure, i.e. the multiple the market currently applies to its *unrefreshed* estimate. Reaching it means the market has done the re-estimation we are being paid for; take some.
- **Trim 2 — a further third at approximately \$48.30** ($\sim 15\times$ normalized).
- **Reassess entirely above \$55.** That approaches the six-month high (\$59.71) and the 52-week high (\$61.48) — back inside the crowded AI-narrative excursion the stock has just retraced. Above there we are no longer holding a stale-estimate position; we are holding the same momentum trade as everyone else, and the position must be re-argued on its own terms.
- **Position sizing note:** average daily volume was **not measurable this session.** Pull it before staging and cap the working order at our standard $\leq 1\%$ participation. Do not stage on an assumed liquidity profile.

Catalyst dates.

Date	What	Confirmed?
2026-08-27	Weichai Power (2338.HK) first-half results — read-across. The informative number is gross margin on high-horsepower/genset , not units.	No — asserted by both benches, not verified against a company announcement. Verify before relying on it.
$\sim 2026-09-10$	Monthly Chinese industry truck wholesales (August) — first post-subsidy-step-down read on the demand leg	No — approximate publication date
$\sim 2027-02-24$	CYD's own next results (full-year 2026)	No — vendor-derived. The company's actual pattern (full-year 2026-02-24, first-half 2026-08-07) is consistent with it, but no company announcement names the date.
No date	Annual report quality-of-earnings pull — executable now , not a waiting item	n/a

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 28.65 (deck-provisional: 52-week low (\$28.65) coincident with low end of published PT range (\$28.54); deep add to cumulative o.)
- filing watch: 6-K until 2027-02-20 (deck-provisional: CYD's only continuous disclosure channel; would carry any guidance, special dividend, capital commitme)
- dated pack CYD|2026-08-27: CYD: Weichai Power (2338.HK) 1H26 interim - read the HHP/genset GROSS MARGIN trend, not the unit count; units are supply-bound and uninforma

- dated pack CYD|2026-09-10: CYD: Monthly China HD/LD truck wholesale data (August) - first clean read after the mid-2026 subsidy step-down; alert on the Yuchai-vs-indus
- dated pack CYD|2027-02-24: CYD: CYD FY2026 results - vendor-derived date, corroborated only by the semi-annual filing pattern (FY25 on 2026-02-24, 1H26 on 2026-08-07);

What remains unverified

1. **Operating cash flow, receivables, and bank-acceptance-note balances.** The single most important open item. The prior-year annual report is already public. Both benches named this and neither pulled it.
 2. **The size of the warranty-expense reduction** inside the gross-margin expansion, and whether it is a genuine cost improvement or an accrual release.
 3. **The split of the 1,800 data-centre units** between the joint venture and Yuchai's own brand, and the gross margin on the own-brand units. Everything about the resized exposure figure depends on this and it is currently an estimate.
 4. **The selling price of a high-horsepower engine.** Estimated at roughly RMB 1m per unit; not disclosed anywhere we checked.
 5. **The “2,600 units” figure’s authorship** — spoken by an analyst; we never established whether it originated with the company at any point.
 6. **Whether any estimate has been revised since 2026-08-07.** The only post-results revision we found was at the *parent* level. If a refreshed full-year estimate materially above US\$2.85 exists, the core of this pitch is already priced and the position should not be taken.
 7. **Live price, volume, average daily volume, and short interest.** No independent broker data this session.
 8. **Whether the insider sales were pre-scheduled,** and what the amended Form 4 corrected. Primary forms never opened.
 9. **Second-half truck demand after the subsidy step-down.** Neither the filing nor the call addressed it. There is no company comment on the record.
 10. **Yulin plant coordinates,** without which the independent satellite check on “we are selling everything we can build” cannot run.
 11. **Currency.** RMB 14.94 translating to US\$2.19 implies about 6.82 per dollar; part of the reported dollar growth is translation, and we have not decomposed it.
 12. **US policy risk running the other way** — restrictions on Chinese AI data-centre buildout would hit the demand side of the very story we are declining to underwrite. Unscreened.
-


```
{"price_gates": [{"level": 38.75, "direction": "below", "basis": "Starter 0.25% of book, armed only after 2026-08-27 and only if Weichai HHP/genset gross margin is not deteriorating"}, {"level": 34.34, "direction": "below", "basis": "Published mean price target; add to cumulative 0.50% at ~10.7x seasonality-normalized FY26 EPS of US$3.22"}, {"level": 28.65, "direction": "below", "basis": "52-week low ($28.65) coincident with low end of published PT range ($28.54); deep add to cumulative 0.75% cap at ~8.9x normalized"}, {"level": 43.80, "direction": "above", "basis": "~13.6x normalized EPS – the multiple the market applies to its unrefreshed estimate; trim one third, the re-rating we were paid for has occurred"}, {"level": 48.30, "direction": "above", "basis": "~15x normalized EPS; trim a further third"}, {"level": 55.00, "direction": "above", "basis": "Re-entering the crowded AI-narrative excursion zone below the 26w high of 59.71; thesis must be re-argued, not held"}], "event_gates": [{"forms": ["6-K"], "why": "CYD's only continuous disclosure channel; would carry any guidance, special dividend, capital commitment, or related-party transaction – the no-tripwire failure mode surfaces here or nowhere"}, {"forms": ["20-F"], "why": "Operating cash flow, receivables, bank-acceptance notes and the warranty provision – the hard gate on any position above 0.75% of book"}, {"forms": ["4", "4/A", "144"], "why": "Escalation beyond the current ~21,000-share option exercise-and-sell pattern would change the read on insider behaviour"}, {"forms": ["SC 13D", "SC 13D/A", "SC 13G", "SC 13G/A"], "why": "Controlling-shareholder stake change; the holder appoints 6 of 11 directors and any move by it is decision-relevant"}], "catalyst_dates": [{"date": "2026-08-27", "what": "Weichai Power (2338.HK) 1H26 interim – read the HHP/genset GROSS MARGIN trend, not the unit count; units are supply-bound and uninformative", "confirmed": false}, {"date": "2026-09-10", "what": "Monthly China HD/LD truck wholesale data (August) – first clean read after the mid-2026 subsidy step-down; alert on the Yuchai-vs-industry share gap narrowing, not the industry level", "confirmed": false}, {"date": "2027-02-24", "what": "CYD FY2026 results – vendor-derived date, corroborated only by the semi-annual filing pattern (FY25 on 2026-02-24, 1H26 on 2026-08-07); no company announcement names it", "confirmed": false}], "immediate_entry": null}
```